

Value Line Scoring Rubric (5–3–1 System)

Category	Metric	Score 5 (Excellent)	Score 3 (Average)	Score 1 (Poor)
Growth	Revenue Growth (8q)	>20% YoY, beats industry avg	5–10% YoY, in line with market	Flat/negative, below avg
Growth	EPS Growth (8q)	>20% YoY, consistent upward	5–10% YoY, some variability	Negative or inconsistent
Growth	Cash Flow/Share Growth	Strong, in line with EPS	Modest (~5% YoY)	Declining
Growth	Projected EPS Growth (2–3 yrs)	>15% CAGR	7–10% CAGR	<5% CAGR
Fundamentals	Operating Margin Trend	Rising, >20%	Stable, 10–15%	Falling or <5%
Fundamentals	ROE Trend	>15% and rising	8–12%, stable	<5% or falling
Fundamentals	Debt Level	<1× EBITDA, declining	1–2× EBITDA, stable	>3× EBITDA, rising
Fundamentals	Share Count Trend	Declining (buybacks)	Stable	Rising quickly
Value	PEG Ratio	≤1.0	1.3–1.5	>2.0
Value	Relative P/E Ratio	<1.0 (discount)	~1.2	>1.5 (premium)
Value	P/FCF	<15	18–22	>30
Value	Price vs 18-mo Target	≥30% below midpoint	10–15% below	At/above midpoint
Quality & Moat	Earnings Predictability	≥80 VL score	~60 VL score	<40 VL score
Quality & Moat	Price Stability	≥80 VL score	~60 VL score	<40 VL score
Quality & Moat	Financial Strength	A or higher	B	C or lower
Quality & Moat	Competitive Advantage	Clear moat	Some differentiation	No moat
Risk & Catalysts	Industry Timeliness	Top quintile	Middle quintiles	Bottom quintile
Risk & Catalysts	Company Timeliness	Rank 1 or 2	Rank 3	Rank 4 or 5
Risk & Catalysts	Key Catalysts	Multiple clear catalysts	One catalyst	None
Risk & Catalysts	Major Risks	Minimal	Manageable	Significant